

MOCK First Partial Exam

Question 1 (7.5 points)

The goods market of country Alpha is described by the following equations:

$$C = c_0 + c_1(Y - T)$$

$$I = \bar{I} + d_1Y$$

$$T = \bar{T}$$

$$G = \bar{G}$$

$$Y = C + I + G$$

Where $0 < c_1 < 1$, $d_1 > 0$ and $c_1 + d_1 < 1$.

Assume that the country's government decides to lower government spending, G . In the new equilibrium, national and private saving will be equal, larger or smaller than before? (Provide the economic intuition).

Question 2 (7.5 points)

Explain when and why you share or not the following statement:

“In order to increase the natural level of production Y_n , the Government has two alternatives: (i) it can try to permanently increase the demand for goods, for example by opting for a permanent increase in the government purchases of goods and services, or (ii) it could decide to implement ‘supply-side’ policies, such as those leading to an increase in the degree of competition in the goods market. The difference between the two strategies above is that the first one will lead not just to an increase in Y_n , but also to a permanently higher level of prices, while the second strategy will push the economy towards an equilibrium characterized by a higher Y_n and a lower level of inflation.”

Question 3 (7.5 points)

Consider country Gamma, a closed economy described by an IS-LM-PC model, with flexible prices and adaptive expectations ($\pi = \pi_{-1}$), that is in the medium run equilibrium with a positive real policy rate $r_n > 0$. Suppose that a new law that decreases the minimum wage is passed. By making reference to the IS-LM-PC model, explain in which way the lines are going to be affected in the short run equilibrium as well as in the adjustment process towards the new medium-run equilibrium. In the new medium-run equilibrium, will the real interest rate, the real wage, and the inflation rate be higher, lower or the same, compared with its initial level? Motivate your answer.

Question 4 (7.5 points)

Consider the same decrease in the minimum wage of question 3 in a “supply of goods-demand for goods” model and explain in which way the lines in the “supply of goods-demand for goods” graph are going to be affected in the new medium-run equilibrium. In the new medium-run equilibrium, how will the composition of demand for goods be affected? Motivate your answer.